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MERIDIAN TRUST BANK

POLICY: FEES, DISPUTES & REGULATORY COMPLIANCE

Field	Value
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Department	Consumer Compliance, Fraud Operations & Customer Operations

1. Scope

Governs all fee waivers, courtesy credits, Reg E dispute provisional credits, lending disclosures (TILA, Reg Z), deposit account disclosures (Reg DD), KYC/CIP onboarding, BSA suspicious activity reporting, and fraud investigations. Three rule families:

- **BNK-FIN-RULE-*** Fees, waivers, courtesy credits, dispute provisional credit authority
- **BNK-REG-RULE-*** Regulatory: TILA, Reg Z, Reg DD, Reg E, KYC/CIP, BSA/AML
- **BNK-FRAUD-RULE-*** Fraud investigation procedures and elder financial exploitation

2. Fees & Compensation (BNK-FIN-RULE)

2.1 Fee-Waiver Authorization

ID	Rule	Severity
BNK-FIN-RULE-001	Banker single-call authorization cap is \$250 in fee waivers and courtesy credits per transaction. Any amount above \$250 requires an approved Manager Approval ticket before the banker communicates a number to the customer. Tickets are resolved within 1 business day.	CRITICAL

ID	Rule	Severity
BNK-FIN-RULE-002	Banker must never promise a waiver or credit amount to the customer before authorization is confirmed. For amounts above \$250: 'I am opening a Manager Approval ticket for this; you will receive an outcome within one business day.'	CRITICAL
BNK-FIN-RULE-003	Courtesy waivers are limited to one per account per 180-day period. The system will block a second application. A blocked second application requires Manager Approval.	MAJOR

2.2 Common Fee Waiver Scenarios

Scenario	Standard Waiver
Overdraft fee — 1st occurrence in 12 months	Waive 100% as one-time courtesy (within cap)
Overdraft fee — recurring	Up to 50% waiver, requires reason code
Monthly maintenance fee on dormant account	Waive 100% (within cap)
Returned-deposit fee on a customer-not-at-fault item	Waive 100%
Wire transfer fee on a wire that failed due to bank error	Waive 100% + refund the wire amount via Operations ticket
ATM out-of-network fee	Apologise; no waiver standard

Billing codes: - Fee waiver → ADJ-FEE-WAIVE - Courtesy credit → ADJ-COURTESY - Manager-approved override → ADJ-MGR-OVERRIDE (only after ticket approval) - Reg E provisional credit → ADJ-REGE-PROV - Reg E final credit → ADJ-REGE-FINAL

2.3 Provisional Credit Authority (Reg E)

ID	Rule	Severity
BNK-FIN-RULE-004	For Reg E disputes (unauthorized electronic transactions), banker may issue provisional credit up to \$500 at their seat after taking the dispute, provided 3-of-5 verification is complete and the disputed item is within 60 days of the	CRITICAL

ID	Rule	Severity
BNK-FIN-RULE-005	statement date. Above \$500, Manager Approval ticket required. Final determination is made by the Reg E adjudication team within 10 business days. Banker must NOT promise a final outcome on a Reg E dispute — only the provisional credit. Phrasing: ‘I am issuing a provisional credit of \$X today while we investigate. You will receive a written determination within ten business days.’	CRITICAL

2.4 Repeat-Complaint Pattern

ID	Rule	Severity
BNK-FIN-RULE-006	Accounts with more than 3 fee-waiver or dispute requests in 90 days are automatically flagged. Banker must inform the customer that the request is under review and route to Consumer Compliance via ticket. Decisions within 1 business day.	MAJOR

3. Regulatory Compliance (BNK-REG-RULE)

3.1 KYC / Customer Identification Program

ID	Rule	Severity
BNK-REG-RULE-001	At account opening, banker must collect and verify: full legal name, date of birth, physical residential address (not a PO box for personal accounts), and SSN/Tax ID. Customer must be screened against the OFAC SDN list before the account is opened. Failure to complete the CIP before funding is a CRITICAL violation.	CRITICAL

ID	Rule	Severity
BNK-REG-RULE-002	For business accounts, banker must additionally verify the business legal entity (EIN, formation documents), beneficial ownership for any individual owning 25% or more, and the control person per the Beneficial Ownership Rule.	CRITICAL

3.2 Truth-in-Lending Act (TILA / Reg Z)

ID	Rule	Severity
BNK-REG-RULE-003	Banker must NEVER quote a specific loan or mortgage rate from memory. All rate quotes must come from the current live rate sheet and be accompanied by the required TILA disclosures: APR, finance charge, amount financed, total of payments. Quoting a rate without these disclosures is a violation.	CRITICAL
BNK-REG-RULE-004	For mortgage and Home Equity inquiries, the Loan Estimate must be issued within 3 business days of receiving a complete application (6 pieces of information per Reg Z).	MAJOR
BNK-REG-RULE-005	Banker must not advise a customer to misrepresent income, employment, or intent of use on any loan application. Doing so is a CRITICAL violation and may constitute loan fraud.	CRITICAL

3.3 Truth-in-Savings (Reg DD)

ID	Rule	Severity
BNK-REG-RULE-006	At deposit account opening, banker must disclose: APY, minimum balance, compounding frequency, fees that may be	MAJOR

ID	Rule	Severity
	imposed, and any rate variability. The customer must acknowledge receipt of the Truth-in-Savings disclosure before funding.	

3.4 Reg E — Electronic Funds Transfers

ID	Rule	Severity
BNK-REG-RULE-007	Reg E governs disputes for unauthorized electronic transactions: ATM, debit card, ACH, online banking transfers. Customer must be granted full Reg E rights: 10 business days for provisional determination, 45 calendar days for final determination (extended to 90 for new accounts, foreign transactions, or POS). Banker may not waive or shorten these rights.	CRITICAL
BNK-REG-RULE-008	Banker must accept a Reg E claim from the customer on the call; the customer is NOT required to sign a written claim before provisional credit is issued, though the written claim must follow within 10 business days.	CRITICAL

3.5 BSA / Anti-Money Laundering

ID	Rule	Severity
BNK-REG-RULE-009	Cash transactions aggregating more than \$10,000 in a single business day require a Currency Transaction Report (CTR). The banker collecting the deposit/withdrawal initiates the CTR; the customer must complete IRS Form 8300 information collection.	CRITICAL

ID	Rule	Severity
BNK-REG-RULE-010	If the banker observes a pattern that may indicate structuring (e.g. repeated cash deposits just under \$10,000), they must NOT alert the customer in any way. The banker continues to serve the customer normally and refers the pattern to the BSA Officer via the AML/BSA ticket queue immediately after the call. This is the no-tip-off rule and is examination-critical.	CRITICAL
BNK-REG-RULE-011	A Suspicious Activity Report (SAR) is filed by the BSA Officer, not by the banker. The customer must NEVER be told a SAR has been filed, considered, or is under review. Doing so is a federal violation.	CRITICAL
BNK-REG-RULE-012	OFAC SDN list hits must be escalated to the BSA Officer immediately and the transaction must not be processed until cleared. Customer must be told the transaction is ‘under additional review’ — no further detail.	CRITICAL

4. Fraud Procedures (BNK-FRAUD-RULE)

ID	Rule	Severity
BNK-FRAUD-RULE-001	When fraud is reported, banker must immediately freeze the disputed amount on the account so it is not collected pending investigation. Freeze first, investigate second.	CRITICAL
BNK-FRAUD-RULE-002	For card fraud (lost/stolen/skimmed card with unauthorized charges), banker must close the compromised card immediately, order a replacement, and open a Fraud Operations ticket.	CRITICAL

ID	Rule	Severity
BNK-FRAUD-RULE-003	Replacement card SLA: 3-5 business days standard, 1 business day expedited (waived fee for fraud).	CRITICAL
	For check fraud (forged/altered checks), banker must place a check-by-check hold, image the disputed item, and open a Fraud Operations ticket. Final determination within 10 business days.	
BNK-FRAUD-RULE-004	Fraud Operations ticket SLA: initial follow-up within 4 hours, provisional credit determination within 10 business days (matches Reg E).	MAJOR
BNK-FRAUD-RULE-005	Banker must NOT promise the customer a refund of the disputed amount before the fraud investigation concludes; only provisional credit (per Reg E) is permitted.	CRITICAL
BNK-FRAUD-RULE-006	Wire transfer fraud reports require the Wire Recall procedure: banker contacts the Wire Operations team while the customer is on the line if the wire is still recoverable (typically within 24 hours of send). Recovery is not guaranteed once funds have settled at the beneficiary bank.	CRITICAL

4.1 Elder & Vulnerable Customer Financial Exploitation

ID	Rule	Severity
BNK-FRAUD-RULE-007	If a banker observes signs of suspected financial exploitation (e.g. urgency, secrecy, third-party direction, unusual transactions on an elderly or vulnerable customer's account, payments to known scam targets such as gift-card vendors or	CRITICAL

ID	Rule	Severity
BNK-FRAUD-RULE-008	international wire to unknown beneficiaries), banker must: (1) pause the requested transaction, (2) ask probing questions per the Suspected Financial Exploitation script, (3) decline the transaction if exploitation is more likely than not, (4) open a FRAUD-RULE-007 case, (5) file an Adult Protective Services referral if state law requires. The customer's wishes do NOT override this duty. Bankers handling FRAUD-RULE-007 cases must use slower pace, lower pitch, and gentler tone, and offer to keep the customer on the line while contacting a designated trusted contact (per the Senior Safe Act consent on file).	MAJOR

4.2 Account-Takeover & Identity Theft

ID	Rule	Severity
BNK-FRAUD-RULE-009	Suspected account takeover triggers the BNK-SEC-RULE-010 freeze procedure plus an Identity Theft Affidavit packet being mailed to the customer's address on file (NOT to any address provided on the call).	CRITICAL
BNK-FRAUD-RULE-010	Banker must advise the customer to place a fraud alert with the three credit bureaus and to file a report at IdentityTheft.gov. Banker must not file these on the customer's behalf.	MAJOR